Points to Remember

- Decision Making is the important task for managers irrespective of ranks and levels.
- Decision making is selecting a course of action from the available alternatives.
- Decision making is a continuous and mental process.
- Decision making should be done by proper timing, with correct information and with clarity.
- Every decision should be communicated to all executive in the organization.
- The process of decision making involves identification of the problem, analyzing the problem, developing alternative solution to the problem, evaluating the alternatives, selecting and deciding the best course of action, implementation of the action, review and follow up decisions.
- Types of decision making includes routine and strategic decisions, programmed and structured decision, Non programmed and unstructured decision, routine and strategic decisions, policy and operating decision, organizational and personal decision, individual and group decision.
- Programmed decisions are routine decisions in day to day business operations.
- Non programmed decisions are taken in an emergency.
- Policy decisions are taken by the top management.
- Operating decisions are taken at lower level employees.
- Decision making is essential in order to implement the plans.
- Decision can be made not to decide also.

GLOSSARY

Decidere	To cut off.
Quantitative factors	which can be measured like wages paid.
Qualitative factors	Which can be felt (or) Opinion (Example) Good will or Happiness.
Experimentation	Analysis of a fact scientifically.
Strategic Decision	A mix of long term and short term planning.
Programmed Decision	Routine and Repetitive action.
Policy Decision	Taken by top management.
Limiting Factor	Things which are preventing effective decision making.
Cognitive Thinking	Thinking through mind.
Review	To look back once again.

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